FINAL MARKET ANALYSIS

Paper-trading review: what worked, what failed, and risk lessons

SWYNEX – Task 4 | Review period: 1 Sep – 29 Sep 2026 | Prepared 11 Oct 2026

1. Executive Summary

This report reviews the simulated paper portfolio from Task 3: six hypothetical trades in Microsoft (MSFT), NVIDIA (NVDA) and JPMorgan Chase (JPM), each sized at $10,000 with fractional shares and no commissions or slippage. All positions were closed by 29 September 2026.

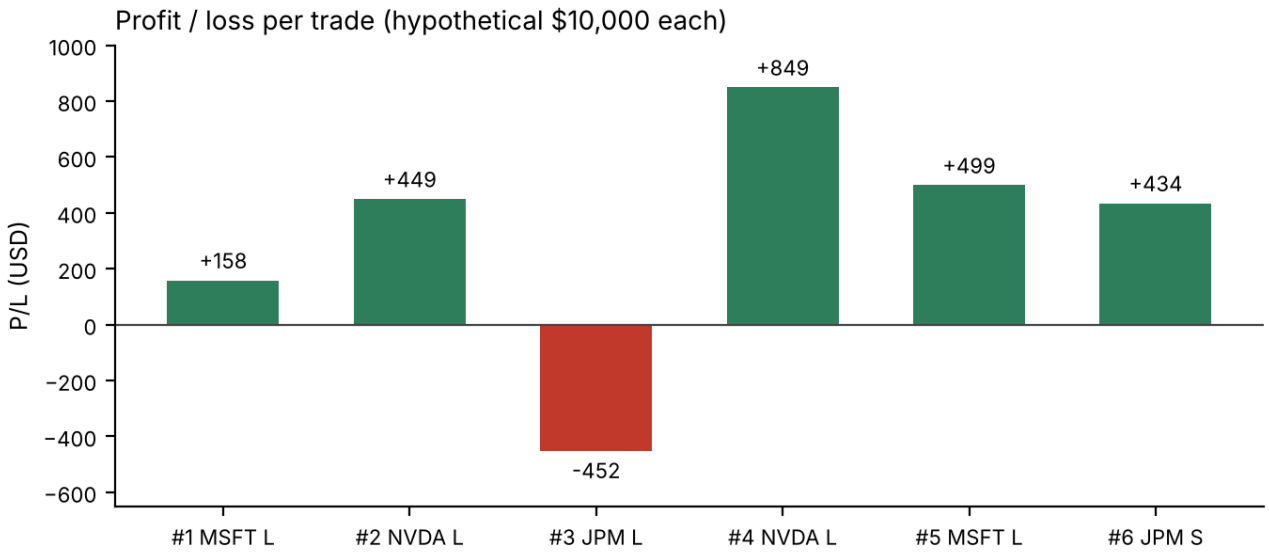
The portfolio finished **+$1,937.88 (+3.23% on $60,000 total notional)**, with **5 wins and 1 loss (83% win rate)**. The result was driven mainly by two NVDA trades and a clear mean-reversion setup, while the only loss came from a JPM range trade that failed when support broke. The key lesson is that the headline result looks stronger than the process behind it: the sample is small, the period was short, and several positions overlapped in ways that concentrated risk.

Net P/L	Return on notional	Win rate	Avg win / avg loss	Profit factor
+$1,937.88	**+3.23%**	**5 of 6 (83%)**	**$478 / $452**	**5.3**

Profit factor = gross profit ($2,389.93) divided by gross loss ($452.04). Return is measured on total notional traded, not on a fixed account balance, because trades overlapped.

2. Portfolio Results

#	Trade	Entry	Exit	Days	P/L ($)	P/L (%)
1	MSFT Long	09-01 @ 501.02	09-29 @ 508.96	28	+158.48	+1.58%
2	NVDA Long	09-01 @ 217.44	09-29 @ 227.21	28	+449.32	+4.49%
3	JPM Long	09-08 @ 353.51	09-23 @ 337.53	15	-452.04	-4.52%
4	NVDA Long	09-14 @ 210.96	09-22 @ 228.87	8	+848.98	+8.49%
5	MSFT Long	09-09 @ 491.65	09-25 @ 516.17	16	+498.73	+4.99%
6	JPM Short	09-04 @ 358.64	09-25 @ 343.06	21	+434.42	+4.34%
	Total				**+1,937.88**	**+3.23%**



Ticker	Trades	Net P/L ($)	Comment
NVDA	2 long	+1,298.30	Best contributor; both entries after pullbacks
MSFT	2 long	+657.21	Steady trend and range-bottom gains
JPM	1 long, 1 short	-17.62	Short gain almost fully offset by the long loss

3. What Worked

- **Buying weakness in a strong name (NVDA).** Trade 4 bought NVDA after a 3.4% one-day drop to 210.96, its lowest close of the month, and exited into the rebound at 228.87 for +8.49%, the best trade in the portfolio. Trade 2 also bought below recent closes and gained 4.49%. Together NVDA contributed $1,298.30, about 67% of net profit.
- **Entering near the bottom of a defined range (MSFT).** Trade 5 entered at 491.65 near the lower end of an approximate 480–516 range and exited at the highest September close, 516.17 (+4.99%). A clear range gave a clear entry level and reward target.
- **Trading both directions (JPM short).** When JPM failed to hold above 360, the short captured the downtrend for +4.34%. Having a bearish option meant the portfolio could earn from a falling stock, not only rising ones.
- **Holding the trend trade (MSFT #1).** Following a roughly 30% rally from the 29 July close, trade 1 stayed with the trend. The gain was small (+1.58%), but it was positive and the position was not stopped out.
- **Having a written reason for each trade.** Every entry was tied to a visible price pattern (trend continuation, dip, range, mean reversion, failed bounce), which makes the results reviewable rather than random.

4. What Failed

- **The JPM range trade (-$452.04, -4.52%).** Trade 3 entered mid-range at 353.51 with no real edge: a mid-range entry has similar distance to support and resistance. When JPM broke below range support (close of 340.00 on 22 September), the position exited the next day at 337.53, which was below the 340.00 level that triggered the exit. The realised loss was therefore larger than the signal level implied.
- **Conflicting JPM positions.** The JPM short opened on 4 September and the JPM long opened on 8 September. From 8 to 23 September the portfolio held both at once: one trade assumed JPM would range, the other that it would trend lower. The two largely cancelled out, and JPM ended at a net -$17.62 across both trades, even though the stock moved clearly in both directions.

- **Small gains relative to time held.** Trades 1 and 2 were held for 28 days, yet the MSFT trade earned only +1.58%. Trade 4 earned +8.49% in just 8 days. Capital tied up in slow trades could have been used on sharper setups.
- **Average loss was almost as large as the average win.** The average win ($478) is only 1.06 times the average loss ($452). The portfolio's profit came from a high hit rate, not from large winners. If the hit rate fell to 50%, the edge would shrink sharply.

5. Risk Lessons

Concentration and overlap. Position overlap peaked on 14 September, when all six trades were open at the same time, a gross exposure of $60,000. Four of the six trades (trades 1, 2, 4 and 5) were long positions in two large-cap technology stocks, so $40,000 of exposure moved with the same market and sector. A technology sell-off would have hit most of the book at once. The six trades should not be treated as six independent bets.

Risk	What the log shows	Lesson / rule for next time
Stop-loss discipline	Only trade 3 shows an exit rule; the other trades are described as exits into strength.	Define the stop before entry on every trade, e.g. below a named support level, and size the position so that the stop equals a fixed loss (such as 0.5–1% of the account).
Position sizing	Fixed $10,000 per trade regardless of volatility or conviction.	Size by risk, not by dollars. NVDA moves more than JPM, so equal dollars means unequal risk.
Correlation	MSFT and NVDA longs make up $40,000 of $60,000 notional.	Cap exposure to one sector and count correlated trades together.
Contradictory trades	JPM long and short open together (8–23 Sep).	Do not hold opposite positions in the same stock unless it is a deliberate hedge.
Gap and slippage risk	Trade 3 exited at 337.53, below the 340.00 break level. The simulation has no costs or slippage.	Assume exits fill worse than the signal level; the real loss can exceed the planned loss.
Small sample	Six trades over about four weeks; MSFT had already rallied about 30%.	An 83% win rate on six trades is not statistically reliable. Test over many more trades and different market conditions.

6. Limitations of this Analysis

- Results use daily closing prices from Yahoo Finance and assume trades fill at the close with no commissions, fees or slippage; real results would be lower.
- The data covers only the period up to 29 September 2026 (MSFT and NVDA) and 25 September 2026 (JPM). Rationales rely on price history only, not on news or earnings.
- Returns are measured on notional traded, not on a fixed capital base, so they cannot be compared directly with a fund's annual return.
- This is an educational simulation, not investment advice.

7. Conclusions and Next Steps

The paper portfolio produced a positive, low-cost result and showed that dip-buying in strong stocks and range-bottom entries worked in this window. The main weaknesses were process-related: a mid-range entry without edge, a contradictory JPM pair, thin reward-to-risk and heavy tech overlap. The next version of the plan should add:

- A written rule for every trade before entry: entry level, stop level, target and position size based on risk.
- A maximum of two open trades per sector and no opposing positions in the same stock.
- A minimum reward-to-risk ratio of about 2:1, so one loss is covered by one average win with room to spare.

- A trade journal tracking results over at least 30–50 trades before judging the strategy.
- Extending the same framework to Indian large-cap stocks, such as the Reliance Industries company studied in Task 2, and comparing results across markets.

8. LinkedIn Video Script (about 1 minute)

“Hello everyone. This is my SWYNEX Task 4, the final market analysis of my paper-trading portfolio. I made six hypothetical trades in Microsoft, NVIDIA and JPMorgan, each of $10,000, during September 2026. The portfolio finished with a net profit of $1,937.88, about 3.2 percent on the total notional, with five wins and one loss. What worked: buying NVIDIA after sharp pullbacks and entering Microsoft near the bottom of its range. NVIDIA alone gave about two-thirds of the profit. What failed: a mid-range JPMorgan long that lost about 4.5 percent when support broke, and the fact that I held both a long and a short in JPMorgan at the same time, which cancelled most of the gains. The biggest risk lesson is concentration. Four of six trades were long tech stocks, and all six were open together at one point. Next time I will set stop-losses and position size before entry, limit sector overlap and test over many more trades. This was a simulation and not investment advice. Thank you for watching.”

9. Sources

- SWYNEX Task 3 – Paper Portfolio: Hypothetical Trade Log (prepared 10 Oct 2026), the source of all trade data in this report.
- Yahoo Finance historical data: MSFT https://finance.yahoo.com/quote/MSFT/history/ ; NVDA https://finance.yahoo.com/quote/NVDA/history/ ; JPM https://finance.yahoo.com/quote/JPM/history/